

₹1.5 lakh a year for your daughter.

What does it become?

Sukanya Samriddhi Yojana for parents of a girl under 10. The real numbers, the rules that changed, and how to open one.

You commented "PDF", so here it is. Every parent with a daughter hears about SSY from a relative, a bank or a reel. This guide works out what it actually pays at today's rate, flags the rules most posts get wrong, and gives you the exact steps to open one.

- 1 You pay for 15 years, it grows for 21.** Deposits stop at year 15, but the account keeps earning 8.2% for six more years with no new money.
- 2 When you pay changes the answer.** The same ₹1.5 lakh becomes ₹71.8 lakh if paid every April, but only about ₹66.4 lakh if paid every March.
- 3 Tax-free in both regimes.** The deduction works only in the old regime, but the interest and the maturity amount are tax-free for everyone.

SSY RATE	YOU PAY FOR	AT 21 YEARS	TAX ON IT
8.2%	15 yrs	₹71.8L	Zero

What your money *actually becomes*

At the 8.2% notified for October to December 2026, every rupee you put in comes back about 3.2 times.

EACH YEAR	EACH MONTH	YEARS PAID	YOU PUT IN	INTEREST EARNED	YOU END WITH
₹12,000	₹1,000	15	₹1,80,000	₹3,94,570	₹5,74,570
₹50,000	₹4,167	15	₹7,50,000	₹16,44,040	₹23,94,040
₹1,00,000	₹8,333	15	₹15,00,000	₹32,88,079	₹47,88,079
₹1,50,000	₹12,500	15	₹22,50,000	₹49,32,119	₹71,82,119

My own calculation: deposit by 5 April each year for 15 years, 8.2% compounded yearly for 21 years, assuming the rate never changes. It will change. Rounded to the rupee.

1 When you pay changes the answer

HOW YOU PAY ₹1.5 LAKH A YEAR	AT 21 YEARS	WHY
Lump sum by 5 April	₹71,82,119	Full year of interest on every deposit
₹12,500 a month, by the 5th	₹69,32,648	Each instalment earns from its own month
Lump sum in March	₹66,37,818	Each deposit misses almost a full year of interest

This is why you see both "₹67 lakh" and "₹72 lakh" in different posts. Both are right; they assume different payment dates.

THE ONE THING TO NOTICE

Your balance at year 15 is about ₹44.8 lakh. The last six years add ₹27.1 lakh more, and you pay nothing in those years. Never close the account at 15.

BEFORE YOU CELEBRATE

₹71.8 lakh in 21 years will not buy what ₹71.8 lakh buys today. At 6% inflation it is worth about ₹21 lakh in today's money. Plan the education goal in future rupees, not today's.

Sukanya Samriddhi, *the rules in one place*

Governed by the Sukanya Samriddhi Account Scheme, 2019. Launched in January 2015 under Beti Bachao Beti Padhao.

2 At a glance

ITEM	DETAIL
Rate	8.2% a year, compounded yearly, credited at the end of each financial year. Reset every quarter by the government. Unchanged since January 2024.
Deposit	₹250 minimum, ₹1.5 lakh maximum per financial year, in multiples of ₹50, any number of times.
₹1.5L a year for 15 years	₹71,82,119 at 21 years, fully tax-free
Deposit period	15 years from the date of opening.
Maturity	21 years from the date of opening. No interest after maturity, so withdraw on time.
Interest cut-off	Interest for a month is on the lowest balance between the 5th and the month-end. Pay by the 5th.
Missed a year	Account goes into default. Revive with ₹250 for each missed year plus ₹50 penalty per year.

3 Who can open one

RULE	DETAIL
Girl's age	From birth until her 10th birthday. Resident Indian only.
Who opens it	Natural parent or legal guardian only. Since 1 October 2024, accounts opened by grandparents must move guardianship to a parent.
How many	One per girl, two per family. Three if twins or triplets are born in the first or second birth.
Extra accounts	Accounts above the family limit are irregular and closed without interest (2024 rules).
Who runs it	The parent until she turns 18, then the girl herself.

When you can *touch the money*

Locked until she turns 18, and even then only half comes out early, only for her education.

4 Withdrawal and closure

SITUATION	WHAT IS ALLOWED
Higher education	After she turns 18 or passes Class 10: up to 50% of the balance at the end of the previous financial year, against an admission letter or fee receipt.
Marriage	Full closure after 18. Apply one month before or up to three months after the marriage.
Compassionate grounds	After 5 years, for a life-threatening illness of the girl or death of the guardian, at the full SSY rate.
Any other early exit	After 5 years, but interest is recalculated at the savings account rate (4% now).
Transfer	Free, between any post office and bank in India, with proof of the address change.
Girl becomes an NRI	Inform the bank or post office; the account is closed.

5 Tax, regime by regime

STAGE	OLD REGIME	NEW REGIME
Your deposit	Deductible up to ₹1.5 lakh under Section 123 (old 80C)	No deduction
Yearly interest	Tax-free	Tax-free
Maturity amount	Tax-free	Tax-free

The ₹1.5 lakh limit is shared with EPF, PPF, ELSS, life insurance and home loan principal. If EPF already fills it, SSY adds little tax saving, but its returns stay tax-free.

GOOD

- 8.2%, tax-free in both regimes
- Backed by the Government of India
- Start with ₹250 a year
- Six free compounding years at the end

WATCH OUT

- Rate can change every quarter
- 21-year lock, 50% at 18 for education
- Only for girls under 10
- Inflation eats into the final amount

SSY, PPF or equity, *the one table to screenshot*

Same ₹1.5 lakh a year for 15 years. Rates for October to December 2026; equity is shown at an assumed return.

	SSY	PPF	EQUITY MUTUAL FUND
Return	8.2%, reset quarterly	7.1%, reset quarterly	Market-linked
Who	Girl under 10, via parent	Any resident	Anyone
Yearly limit	₹250 to ₹1.5 lakh	₹500 to ₹1.5 lakh	No limit
Lock-in	21 years; 50% at 18	15 years; partial from year 7	None (ELSS 3 years)
Tax on gains	Tax-free	Tax-free	12.5% above ₹1.25 lakh a year
Risk	Sovereign	Sovereign	Can fall 30 to 50% in a bad year
Value at 15 years	₹44,75,989	₹40,68,209	₹62,62,992*

*Equity at an assumed 12% a year, before tax. Not guaranteed. Deposit at the start of each year, compounded yearly. SSY keeps growing to ₹71.8 lakh by year 21 with no new deposits.

THE ONE THING TO NOTICE

SSY earns 1.1 percentage points more than PPF with the same tax-free status. For a daughter's education, many families use SSY as the safe base and equity for growth on top.

6 Five things the viral version gets wrong

- "Pay any time in the year."** Pay after the 5th and that month earns nothing. A March lump sum costs about ₹5.4 lakh by maturity versus April.
- "Close it at 15 years."** Deposits stop at 15, but the account earns till 21. Closing early throws away about ₹27 lakh.
- "Grandparents can open it."** Not since 1 October 2024. Existing accounts must move guardianship to a parent.
- "8.2% is locked for 21 years."** It is reset every quarter. It was 7.6% from 2020 to 2023.
- "Skip a year, the account is gone."** It goes into default, not closed. ₹250 plus ₹50 a year revives it.

Open it *in one visit*

Any post office or authorised bank: SBI, Bank of India, Union Bank, ICICI, HDFC, Axis and most public sector banks.

7 How to open it

- 1 **Pick a post office or your own bank.** A bank where you already have a savings account makes online deposits easier.
- 2 **Fill the SSA account opening form** and attach the girl's birth certificate, your Aadhaar and PAN, and photos.
- 3 **Make the first deposit**, anywhere from ₹250 to ₹1.5 lakh, and collect the passbook.
- 4 **Set a standing instruction for 1 to 5 April**, or for the 1st to 5th of every month, so no deposit misses the interest cut-off.

8 The glossary, in plain words

SSY

SUKANYA SAMRIDDHI YOJANA

A government savings account in your daughter's name.

"Ponnu peyarla, arasaangam guarantee."

Maturity

21 YEARS FROM OPENING

When the full balance is paid out to her.

"21 varusham kazhichu full amount kaila."

Deposit period

FIRST 15 YEARS

The only years you can put money in.

"15 varusham kattunga, aprom free ride."

EEE

EXEMPT, EXEMPT, EXEMPT

No tax when you invest, while it grows, or when you withdraw.

"Podumbodhum, edukumbodhum tax illa."

Section 123

OLD SECTION 80C

Old-regime deduction of up to ₹1.5 lakh a year.

"Old regime la mattum dhaan."

The 5th rule

INTEREST CUT-OFF DATE

Money in after the 5th earns nothing that month.

"Anju thethikku munnadi kattunga."

Default

MISSED MINIMUM DEPOSIT

No ₹250 in a year. Revive with a ₹50 penalty per year.

"₹250 kooda kattala na, account thoongidum."

Partial withdrawal

EDUCATION AT 18

Up to half the balance, for her higher studies.

"Padippukku paadhi edukkalaam."

Compounding

INTEREST ON INTEREST

Each year's interest also earns interest the next year.

"Vattikku vatti."

How the numbers *were checked*

Every rate here moves. This is where each one came from, checked on 3 October 2026.

1. Small savings rates for October to December 2026 (SSY 8.2%, PPF 7.1%): Ministry of Finance notification of 30 September 2026, unchanged for the tenth straight quarter.
2. Deposit, withdrawal, closure and transfer rules: Sukanya Samriddhi Account Scheme, 2019, as published by India Post and authorised banks.
3. Guardianship and irregular account rules: Ministry of Finance guidelines on regularising small savings accounts, in force from 1 October 2024.
4. Section 123 (old 80C) and regime rules: Income-tax Act, 2025, in force from 1 April 2026.
5. Projections are my own calculation: deposits on or before 5 April each year, 8.2% compounded yearly for 21 years, rate assumed constant. Equity figures use an assumed 12% and are before tax. Rounded.

9 Check the current rate yourself

WHAT	WHERE
Small savings rates each quarter	dea.gov.in
SSY rules and forms	indiapost.gov.in · nsiindia.gov.in
Tax rules and regime calculator	incometax.gov.in

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific scheme, fund, bank or app for you. I am not a SEBI-registered investment adviser.

The SSY rate is set by the Government of India every quarter, and past rates do not guarantee future rates. Equity investments are market-linked and can go down as well as up. Rates, limits and tax rules change; verify on the official sites above and speak to a SEBI-registered adviser or a tax professional before investing.

Opening an SSY account this year? *Tell me in the comments.*

Free to share. Made by Abinash at [@buildwithabinash](https://buildwithabinash.com). Send this to a friend who just became a parent to a little girl.